

Inflation, Cost of Living, and Real Wages

Victorian Delegates Training Day

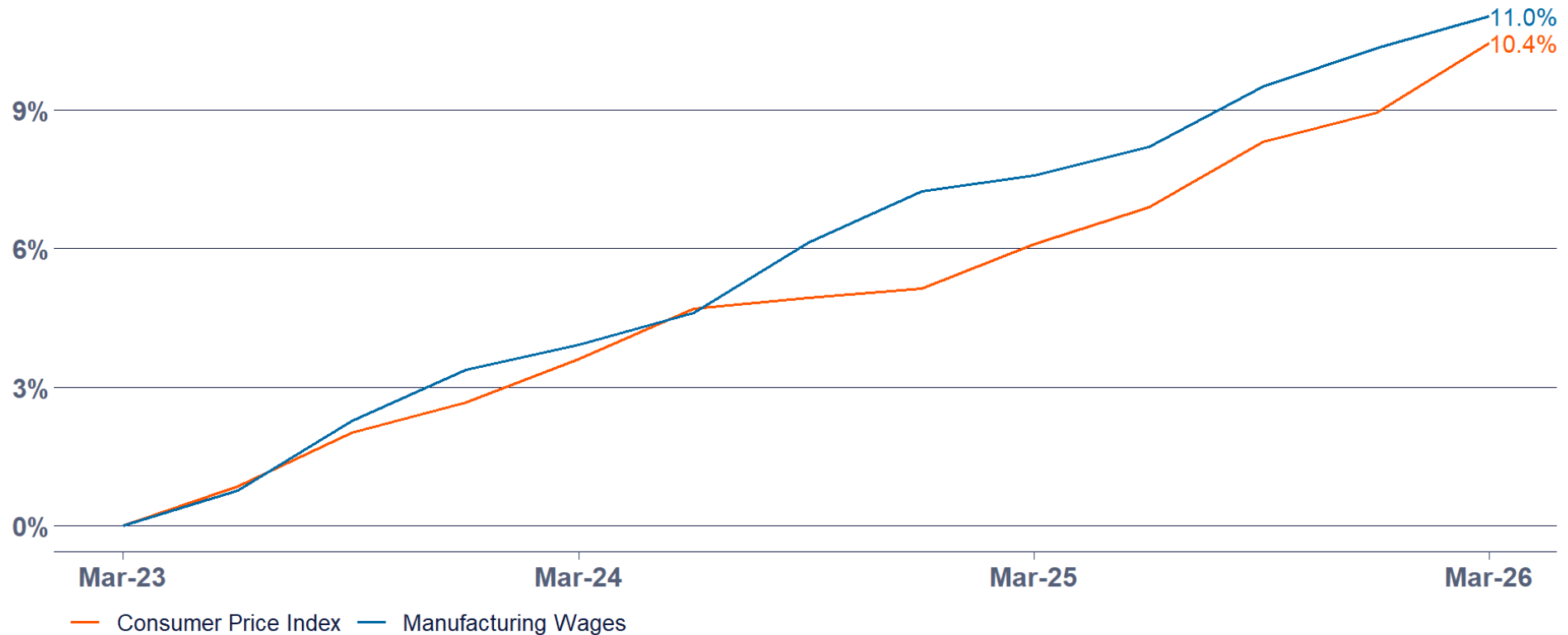
Hamish Gamble

Inflation, Cost of Living, and Real Wages

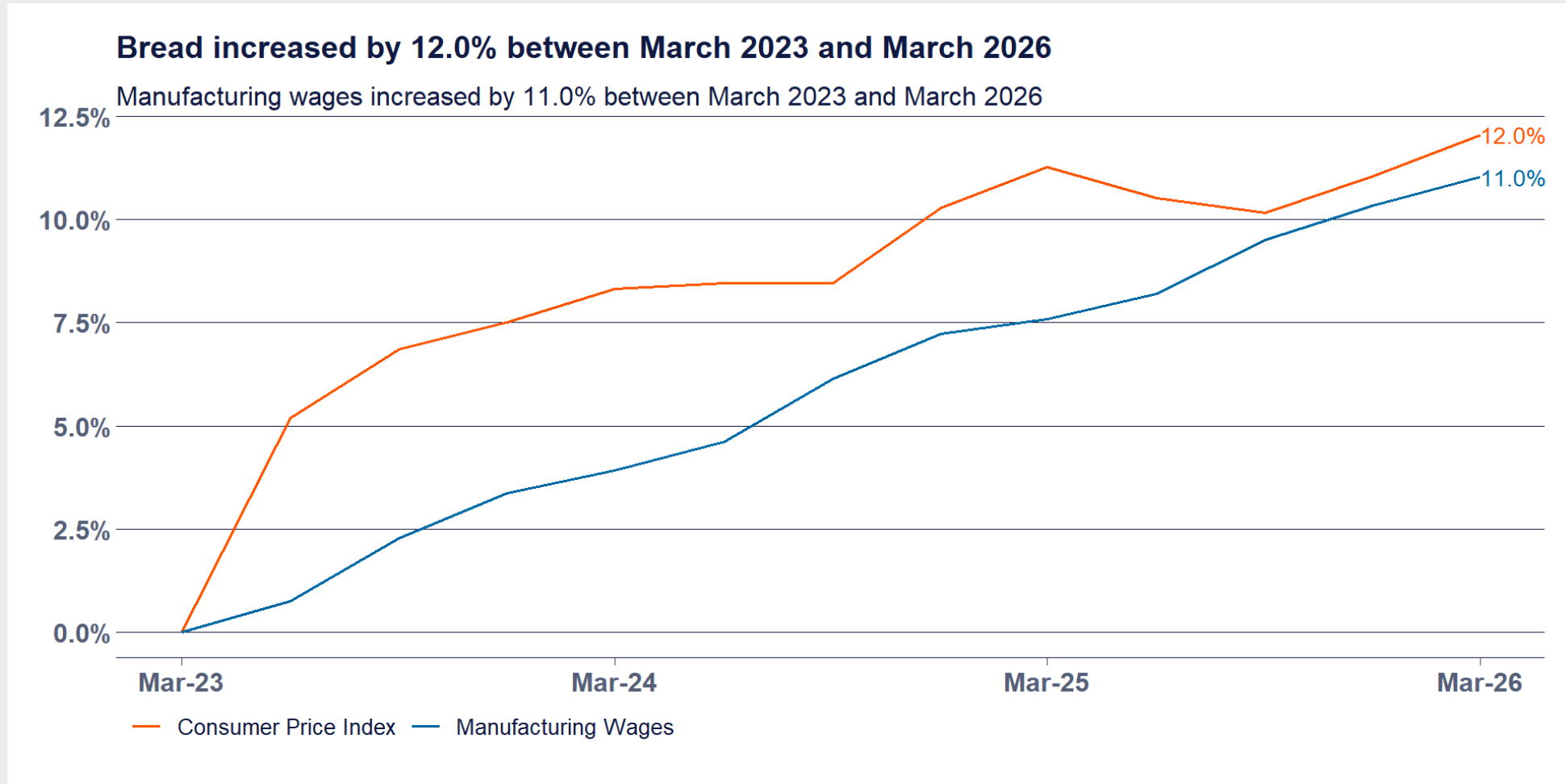
Overall Inflation Impact

All groups CPI increased by 10.4% between March 2023 and March 2026

Manufacturing wages increased by 11.0% between March 2023 and March 2026



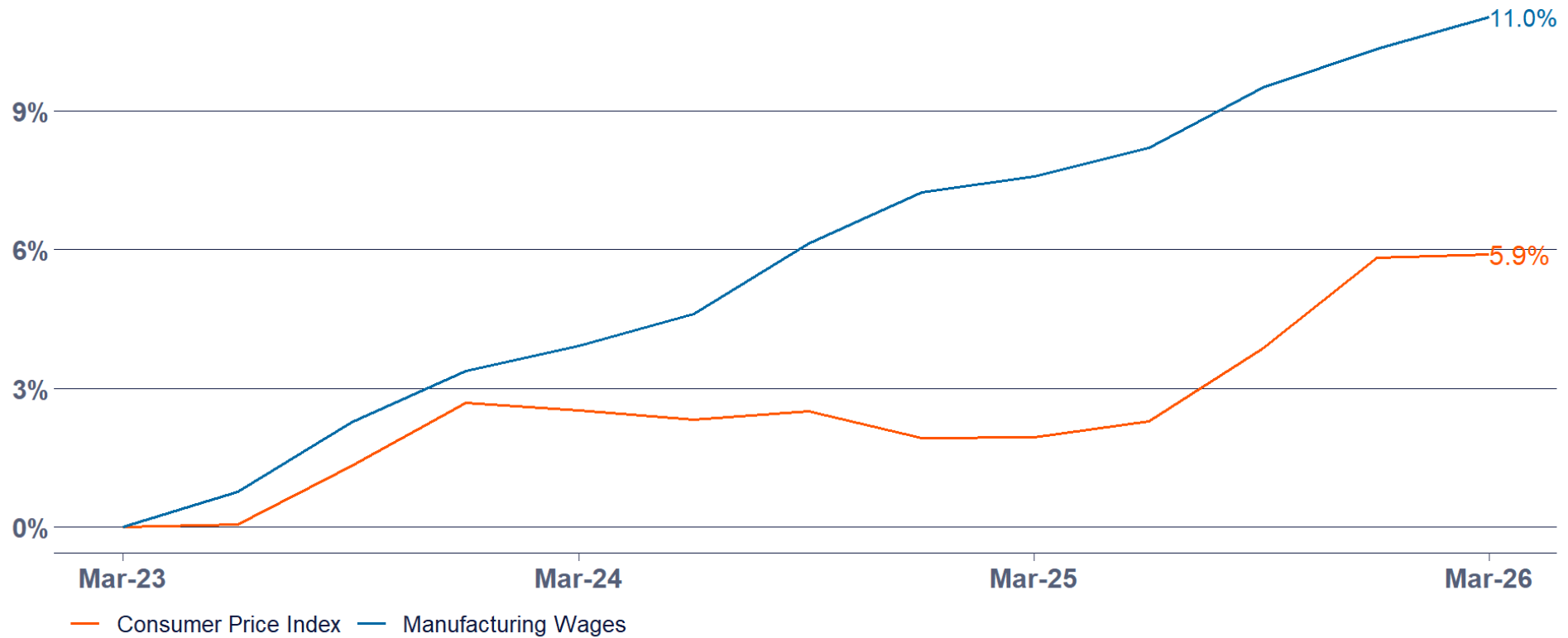
Bread



Milk

Milk increased by 5.9% between March 2023 and March 2026

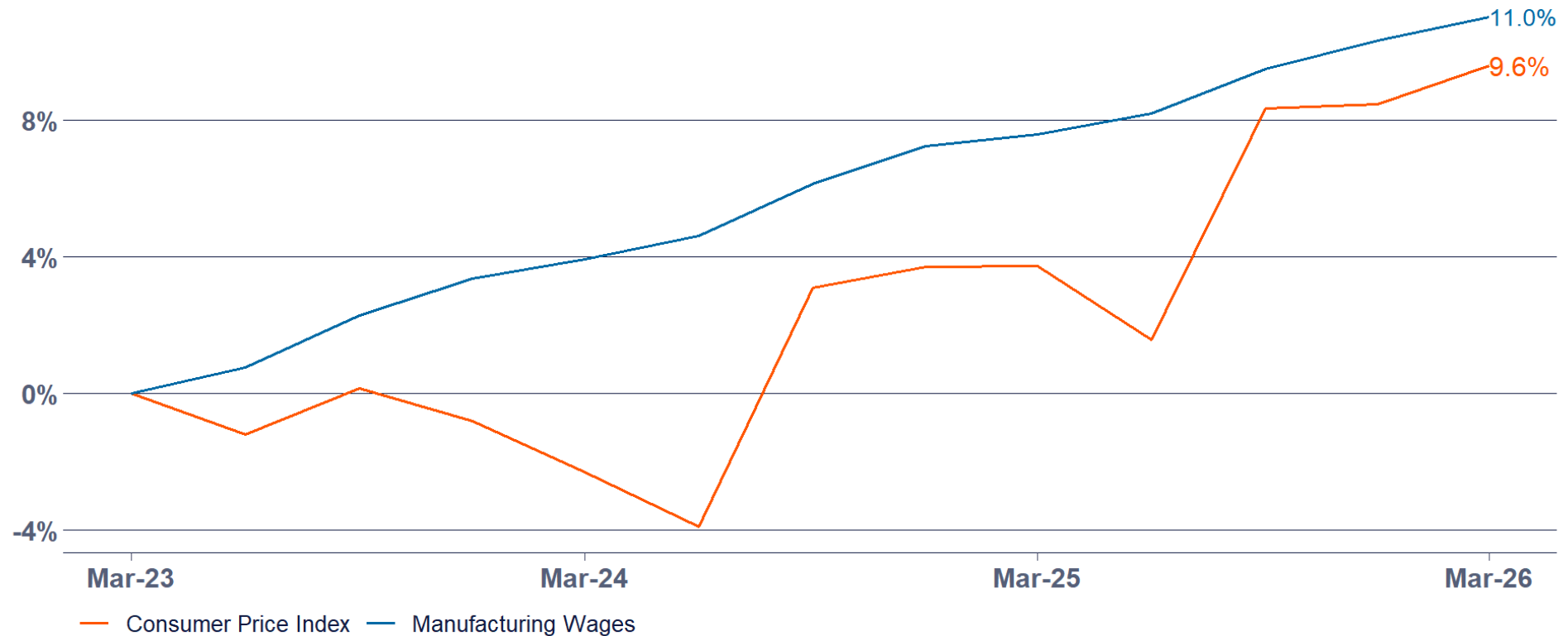
Manufacturing wages increased by 11.0% between March 2023 and March 2026



Gas

Gas and other household fuels increased by 9.6% between March 2023 and March 2026

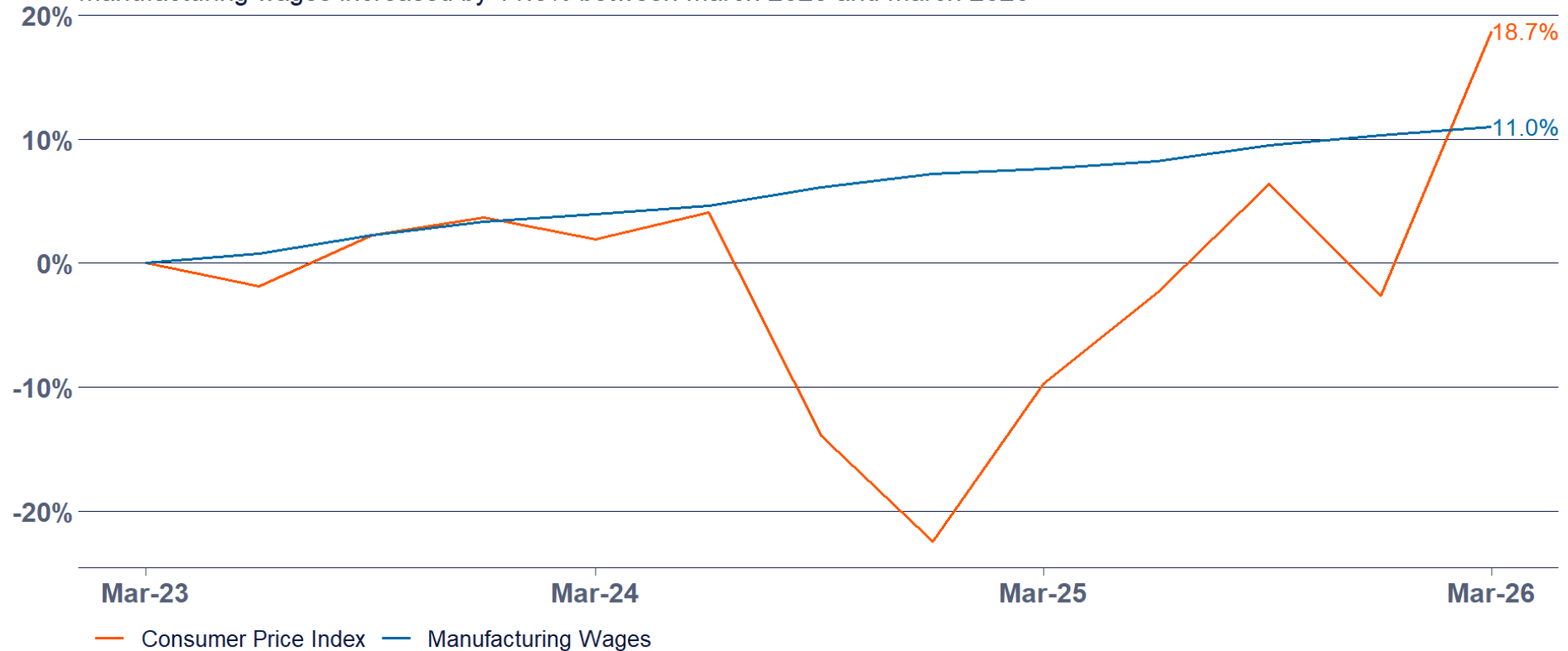
Manufacturing wages increased by 11.0% between March 2023 and March 2026



Electricity

Electricity increased by 18.7% between March 2023 and March 2026

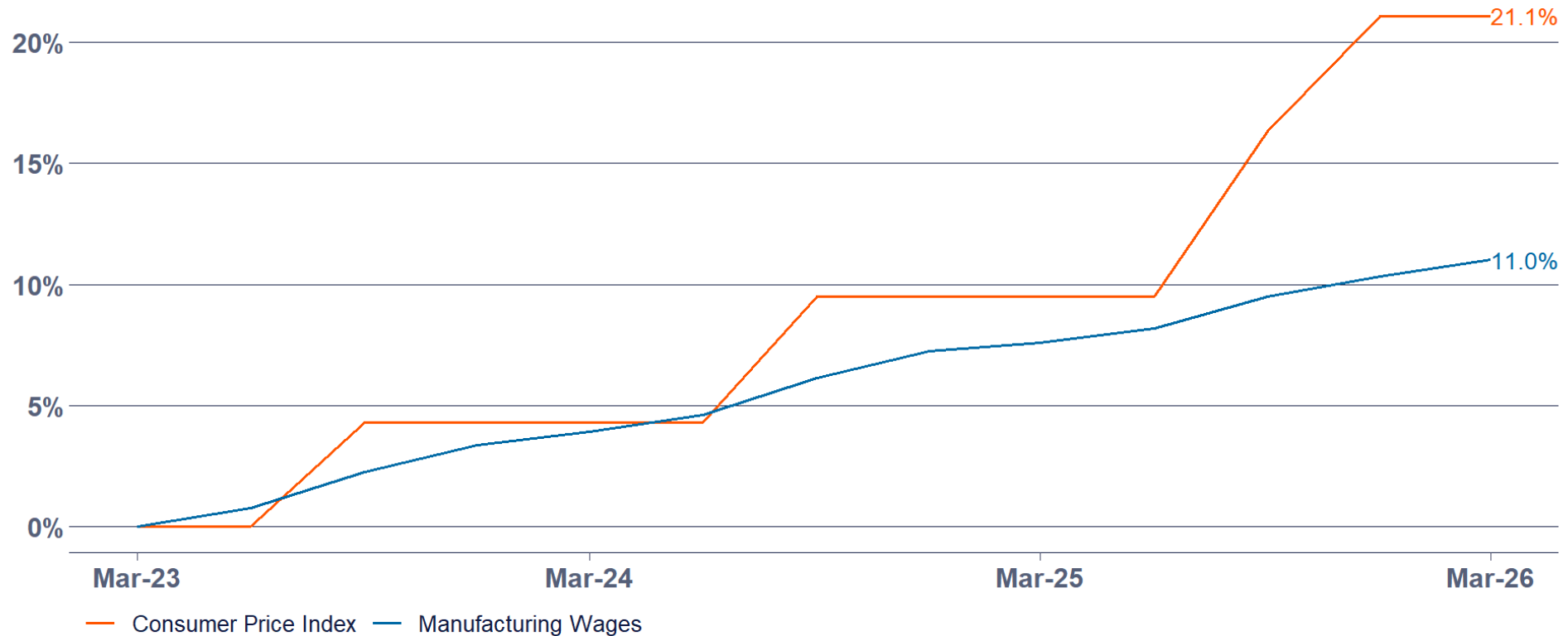
Manufacturing wages increased by 11.0% between March 2023 and March 2026



Property Rates

Property rates and charges increased by 21.1% between March 2023 and March 2026

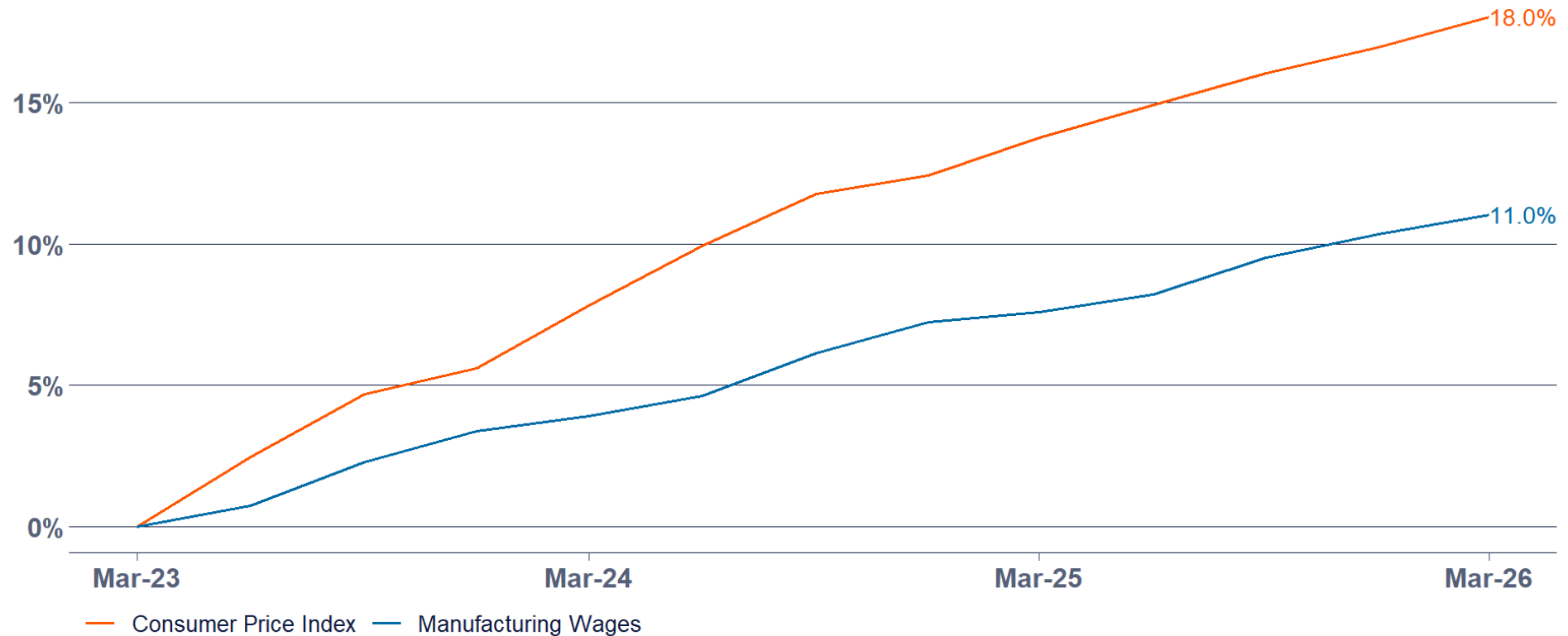
Manufacturing wages increased by 11.0% between March 2023 and March 2026



Rents

Rents increased by 18.0% between March 2023 and March 2026

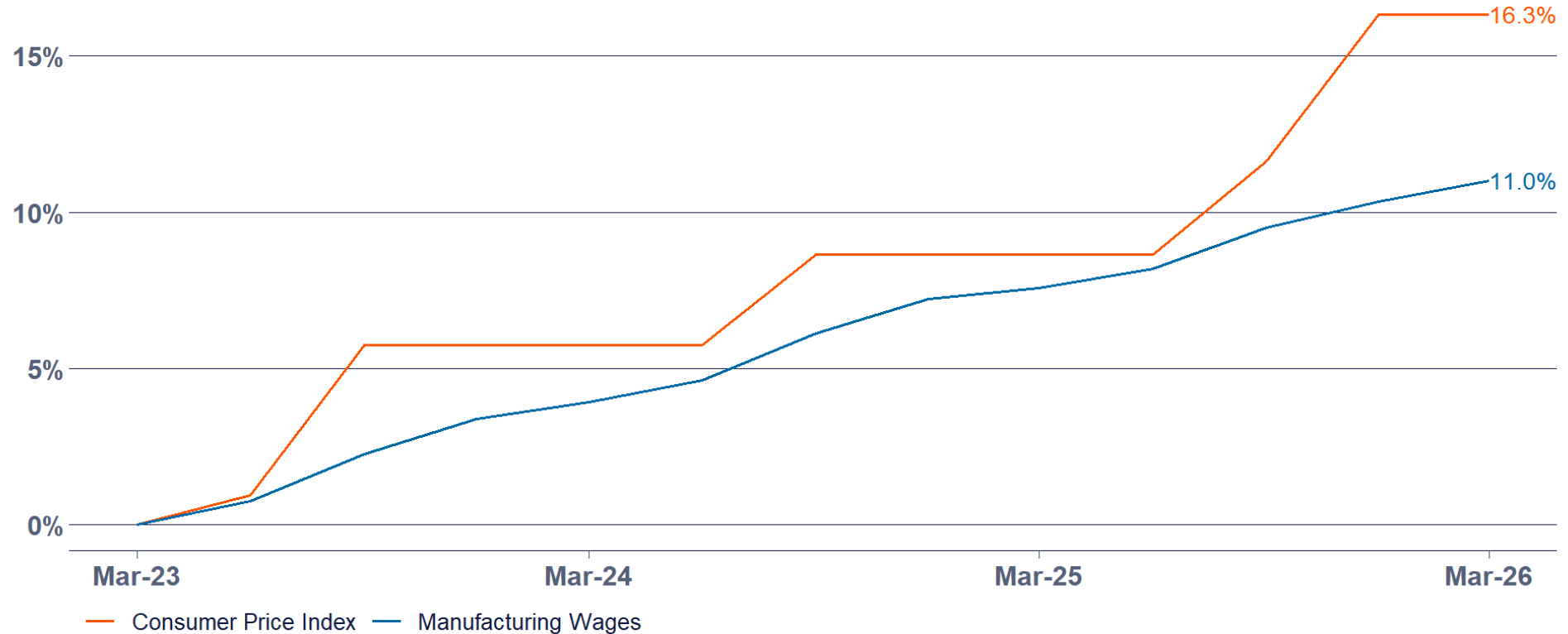
Manufacturing wages increased by 11.0% between March 2023 and March 2026



Water

Water and sewerage increased by 16.3% between March 2023 and March 2026

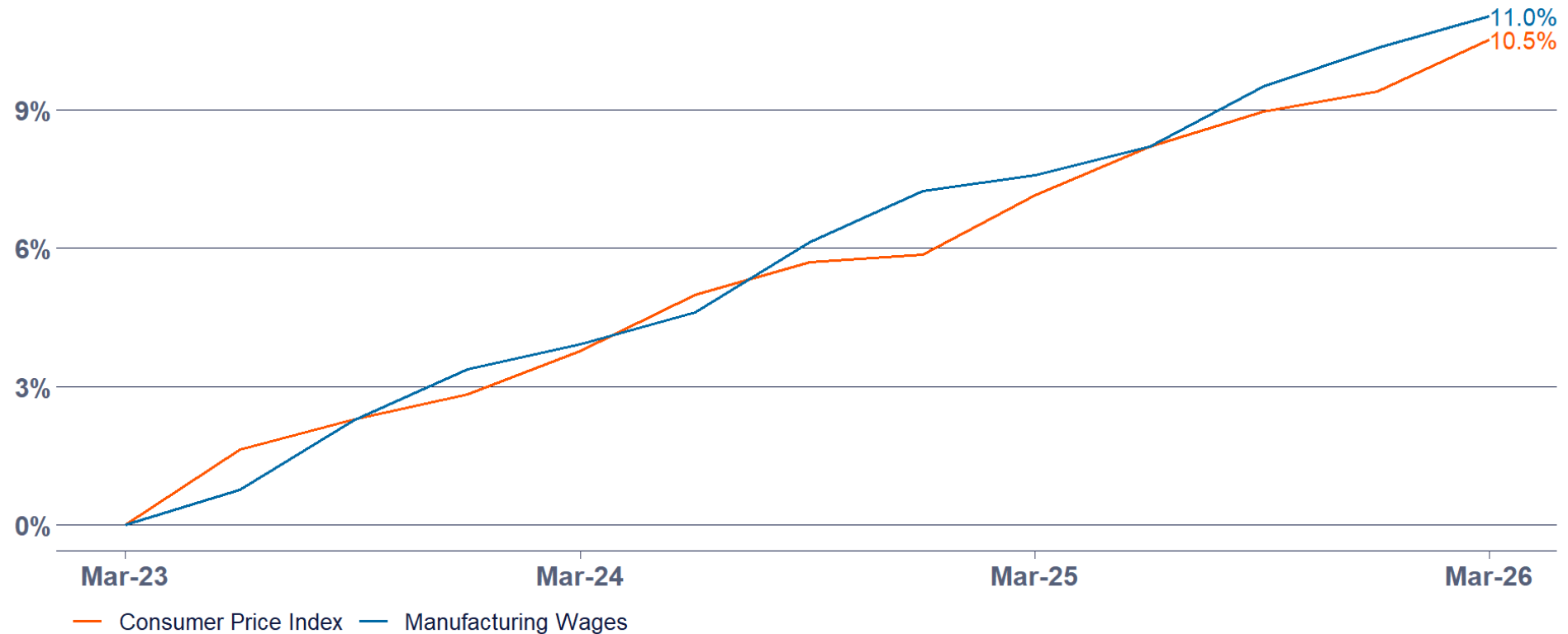
Manufacturing wages increased by 11.0% between March 2023 and March 2026



Food and Non-alcoholic Beverages

Food and non-alcoholic beverages increased by 10.5% between March 2023 and March 2026

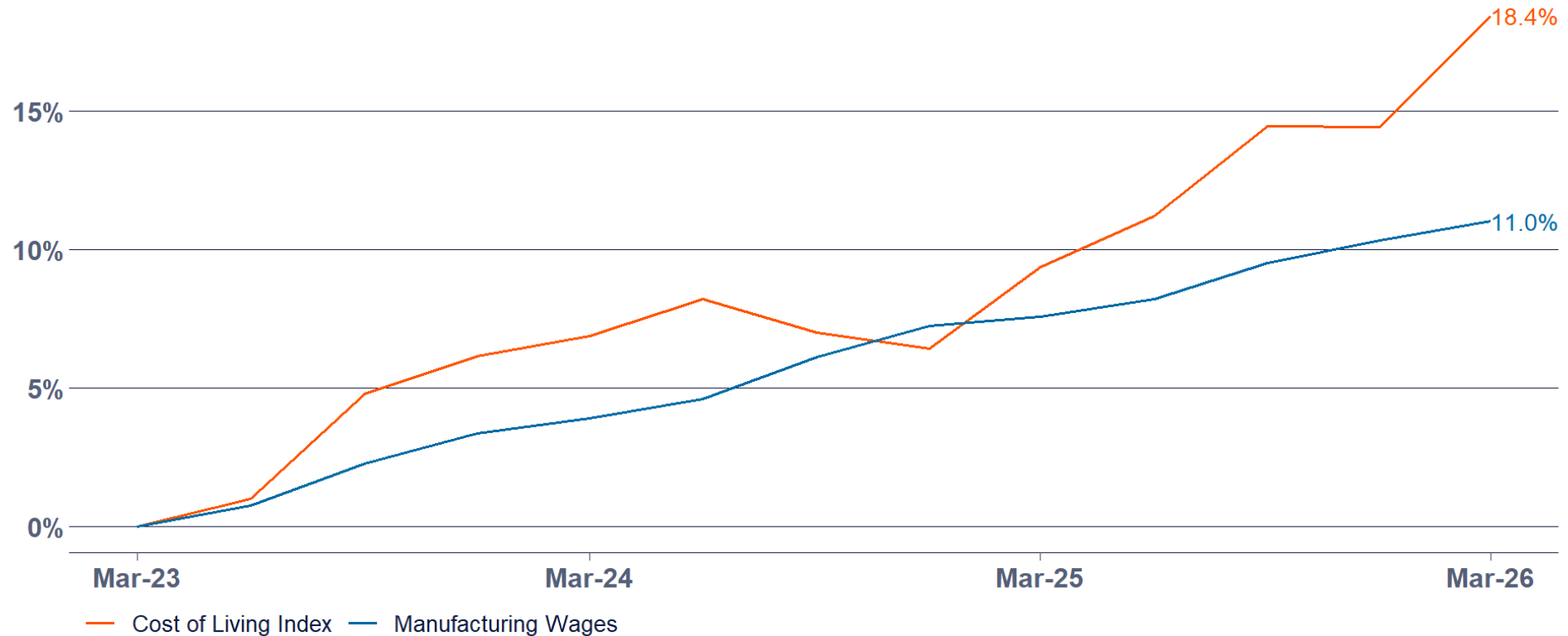
Manufacturing wages increased by 11.0% between March 2023 and March 2026



Housing - Including Mortgages

Housing increased by 18.4% between March 2023 and March 2026

Manufacturing wages increased by 11.0% between March 2023 and March 2026



Summary

Change in living costs by product category	
% change between March 2026 and March 2023	
Price Category	% change
Insurance and financial services	33.6%
Housing	18.4%
Alcohol and tobacco	17.9%
Education	15.0%
All groups	13.0%
Health	12.5%
Wages	11.0%
Food and non-alcoholic beverages	10.5%
Clothing and footwear	7.7%
Recreation and culture	5.6%
Transport	5.3%
Communication	3.3%
Furnishings, household equipment and services	2.7%

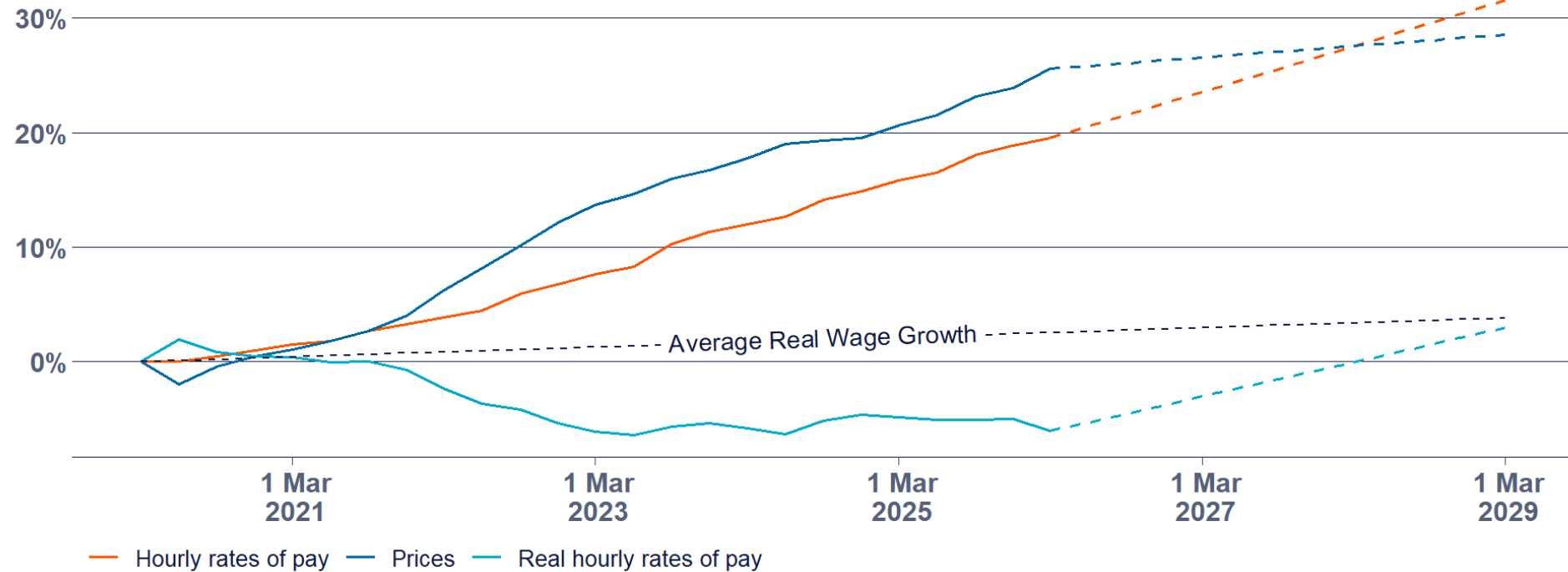
Change in living costs by product category	
% change between March 2026 and March 2020	
Price Category	% change
Insurance and financial services	72.3%
Alcohol and tobacco	35.1%
All groups	28.5%
Housing	27.1%
Health	27.0%
Education	26.2%
Transport	25.4%
Food and non-alcoholic beverages	25.3%
Wages	20.6%
Recreation and culture	19.2%
Furnishings, household equipment and services	17.9%
Clothing and footwear	9.4%
Communication	1.7%

Inflation and Wages

Real Wages Have Not Kept Up With Prices

Cumulative change in hourly rates of pay and prices

Forecast **12%** pay rise by March 2029 and **3%** annual increase in inflation



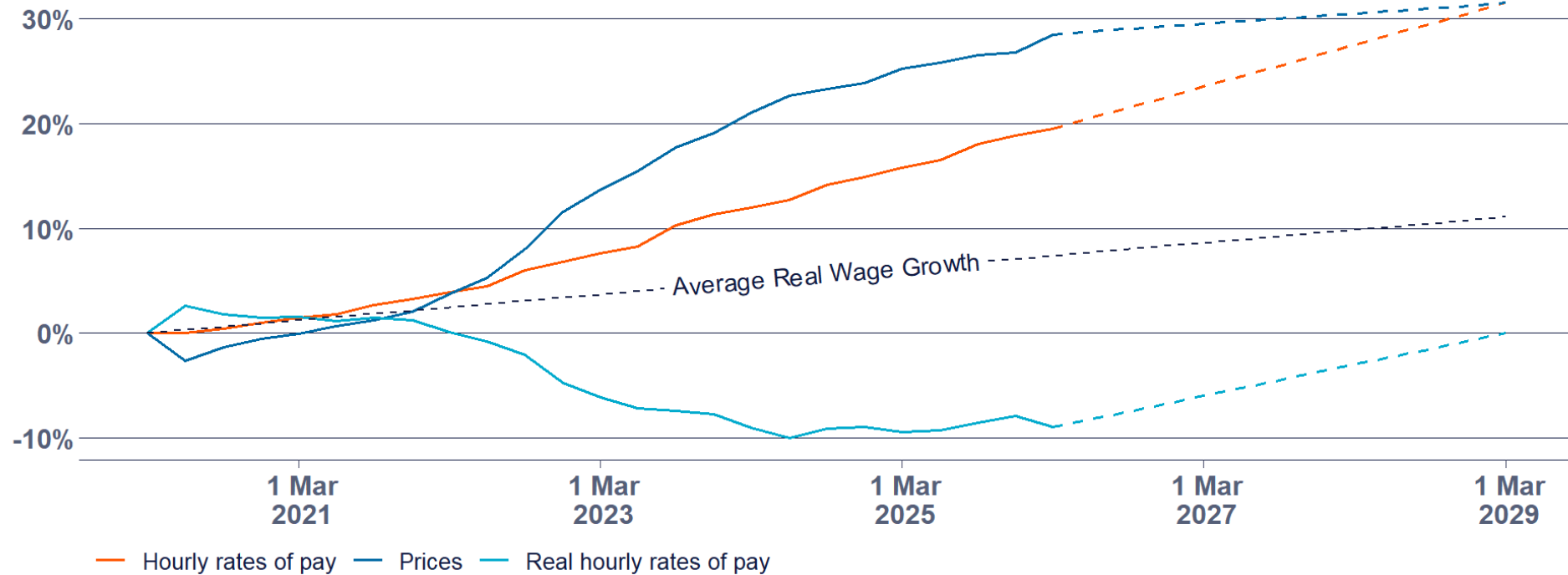
Nominal wages deflated with Consumer Price Index

Cost of Living and Wages

Real Wages Have Not Kept Up With Prices

Cumulative change in hourly rates of pay and prices

Forecast **12%** pay rise by March 2029 and **3%** annual increase in inflation



Nominal wages deflated with Cost of Living Index